NATIONAL COMPANY LAW TRIBUNAL
GUWAHATI BENCH: GUWAHATI

C.P. (CAA) No.06/GB/2018
Connected with
CA(CAA) No.03/GB/2018

Under Section 230 to 232 of the Companies Act, 2013 read with (Compromise, Arrangement and Amalgamation) Rules, 2016

In the matter of:

1) Arunachal Tea & Industries Private Ltd. : Transferor Company

2) Manncotta Holding Private Ltd. : Transferee Company

Order delivered on 1st March, 2019

Coram:

Present: Hon'ble Member (J), Shri Jinan K. R.

For the Applicants Company : Mr. Babulal Patni, PCS

ORDER

1. The object of this petition is to obtain sanction of this Tribunal to the Scheme of Arrangement proposed to be made between the Demerged Company Arunachal Tea & Industries Private Ltd and the Transferee Company, Manncotta Holding Private Ltd. and their respective shareholder whereby and whereunder the Investment Division of the Demerged Company will stand transferred and vested in the Transferee Company by way of Demerger with effect from 1st April, 2018 in a manner provided in the Scheme of Arrangement in CA(CAA) No.03/GB/2018.

2. It is stated in the petition that the Demerged Company is engaged in manufacturing and selling of tea and the Transferee Company primarily engaged in activities auxiliary to financial services. The Demerged Company wants to concentrate its activities in the line of

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manufacturing and selling of the Tea. Therefore, with a view to achieve this, it proposes that the Investment Division be transferred to and vested in the Transferee Company.

3. It is further stated that for the purpose of better, efficient and economical management, control and running of the business of undertakings concerned and for administrative convenience and to obtain advantage of economy of large scale and broad base the present business, better focus on distinct activities, the present scheme is proposed to demerge the investment Division of the Demerged Company into the Transferee Company by way of demerger.

4. It is further that proposed demerger will lead to distinct synergic advantages and economics of scale as the demerged company wants to concentrate its activities in the line of manufacturing and selling of tea, therefore to achieve the same it propose to transfer its investment division to the transferee company.

5. It is further stated that the proposed demerger will lead to efficient operation of both the Companies.

6. It is further stated that the proposed demerger will lead to optimum utilization of resources including manpower of all the Companies, better focus on distinct activities and to broad base the business.

7. It is further stated that the said scheme will have beneficial results for the companies concerned, their shareholders, employees and all concerned.

8. it is further stated that the said scheme will enable the Companies concerned to rationalize and streamline their management, business and finances and to eliminate duplication of work to their common advantage.

9. This Bench vide order dated 22.06.2018 dispensed with the meeting of shareholders as all the shareholders have consented for the proposed scheme of arrangement and necessary affidavit has been filed.

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10. This Bench has also dispensed with the meeting of the only one Secured creditor since the one secured creditors have consented to the scheme of arrangement, having filed an affidavit.

11. Vide order dated 22.06.2018 a meeting of unsecured creditors was ordered to be convened on 6th August, 2018 at 10:30 a.m.

12. Pursuant to the said order, the meeting of the unsecured creditors was held on 6th August, 2018 at 10:30 a.m with necessary quorum being present.

13. Shri. S. Nahata, Chairman appointed for the meeting, has reported the result of the meeting to this Bench. A copy of Report of the Chairman has also been annexed with the Petition.

14. The said meeting was attended by 12 nos of unsecured creditors in person and the Scheme of Arrangement was approved unanimously by creditors present.

15. In terms of the said order 22.06.2018, notice in CAA-3 accompanied with copy of the Scheme of Arrangement along with other required documents were sent to the Regional Director, North Eastern Region, Shillong, the Registrar of Companies, Shillong, concerned Income Tax Officer, Official Liquidator, Shillong and Reserve Bank of India having jurisdiction over the Company.

16. In compliance with Rule 12 of the Companies (Compromise, Arrangement and Amalgamations) Rules, 2016, the petitioner companies filed an Affidavit of service affirmed on 04.10.2018.

17. After such due compliance, the petitioners have made a petition bearing No. C.P(CAA) No.06/GB/2018 connected with CA (CAA)/03/GB/2018 before the Tribunal among other things seeking final sanction to the proposed scheme of Arrangement.

18. This Tribunal passed an order dated 21st December, 2018 passed in C.P (CAA) No.06/GB/2018 connected with CA (CAA)/03/GB/2018 directed to serve copy of Arrangement to the Central Government through Regional Director, North Eastern Region, Ministry of

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Corporate Affairs, Registrar of Companies, Shillong, Official Liquidator and Income Tax Authorities having jurisdiction over the Petitioners and also publication to be effected of the hearing of the said Petition at least 10 days before the date of hearing.

19. In compliance of the order dated 21st December, 2018, passed in C.P (CAA) No.06/GB/2018 connected with CA (CAA)/03/GB/2018, the Petitioner Company have filed affidavit of service affirmed on 22nd January, 2019 evidencing publication of notice in the newspapers and service of notice upon the Central Government through Regional Director, North Eastern Region, Ministry of Corporate Affairs, Registrar of Companies, Shillong, Official Liquidator and to the concerned Assessing Officer of Income-Tax. An affidavit proving service of notice in compliance of directions in the order dated 21st December, 2018 has been filed.

20. The Regional Director, North Eastern Region, Ministry of Corporate Affairs, vide his report dated 15th February, 2019 has reported as below:

I, Bibekananda Mohanty, son of C.C Mohanty aged about 56 years, working for gain as Regional Director, North Eastern Region, Ministry of Corporate Affairs, Shillong having my office at Moreloow Building Ground Floor, Kachary Road, Shillong- 793 001, do hereby solemnly affirmed and state as follows:

1. *That I am the Regional Director, North Eastern Region, Ministry of Corporate Affairs, at Shillong and duly authorized to make this affidavit on behalf of the Central Government. I am well acquainted with the facts and circumstances of the instant case and competent to affirm this affidavit.*
2. *That the observations of the Central Government on the scheme are as under:*
   a) *That it is submitted that on examination of the report of the Registrar of Companies dated 31.08.2018, it appears that no complaint and/or representations has been received against the proposed scheme of Amalgamation. The petitioner company is also up-dated in filing its statutory returns. It is further submitted that on examination of the proposed scheme of demerger of undertaking from the petitioner company, it appears that the proposed scheme of demerger of undertaking from the petitioner company, it appears that the proposed scheme is not prejudicial to the interest of the members/shareholders and/or public. The Central Government has, therefore, decided that the instant petition/scheme need not be opposed.*

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b) *It is submitted that as per instructions of the Ministry of Corporate Affairs, New Delhi, a letter was forwarded to the Income Tax Department on 03.08.2018 with a request to forward their comments/observations/ objections, if any, on the scheme of demerger of undertaking between the transferee and transferor companies. However, the said authority has not forwarded their report to this Directorate till date.*

3. *The statement made in paragraph 1 is true to the best of my knowledge and those made in paragraph 2 is information derived from the records of the case. These are my humble submissions before the Hon'ble National Company Law Tribunal, Guwahati Bench for kind consideration and disposal of the case on its merit.*

21. I have heard the learned counsel for the petitioners. In view of the facts stated above and in absence of any objection from the authorities concerned and since all the requisite compliance have been fulfilled, I render the following orders in terms of the prayer made in the petition:

ORDER

a) The Scheme of Arrangement mentioned in this petition is sanctioned by this Bench to be binding with effect from 1st April, 2018 to the Demerged Company and their shareholders and all concerned;

b) All the properties, rights and interest of the Investment Division of the Demerged Company be transferred to and vested without any further act or deed in the transferee company and accordingly, the same shall, pursuant to Section 232 of the Companies Act, 2013 read with Companies (Compromise, Arrangement and Amalgamation) Rules, 2016 be transferred to and vested in the Transferee Company for all the estate and interest of the Transferor Company, but subject nevertheless to all charges, now affecting the same;

c) All the liabilities and duties of the Investment Division of the Demerged Company be transferred without further act or deed to the Transferee Company and accordingly the same shall pursuant to Section 232 of the Companies Act, 2013 read with Companies (Compromise, Arrangement and Amalgamation) Rules, 2016 be transferred to and become the liabilities and duties of the Transferee Company;

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d) That all the proceedings and/or suits appeals now pending by or against the Demerged Company in respect of its Investment Division Shall be continued by or against the Transferee Company;

e) The transferee shall allot share to the shareholders of the Demerged Company without any further act or deed in the ratio mentioned in the Scheme of Arrangement;

f) The schedule of assets in respect of Demerged Company shall be filed within a period of 60 days from the date of the order to be made herein;

g) The Demerged Company shall within 30 days after date of obtaining the Certified Copy of the order to be made herein cause certified copies of this order to be delivered to the Registrar of Companies, Shillong for registration respectively;

h) In the event of the petitioners supply legible computerized print-out of the scheme and schedule of assets in acceptable from to the department, department will append such computerized print-out, upon verification to the certified copy of the order without insisting on a hand-written copy thereof;

i) Accordingly, the Company Petition bearing No. C.P (CAA)/06/GB/2018, connected with CA(CAA)/03/GB/2018 stands disposed of;

j) Certified copy of the Order may be issued, if applied for, upon compliance with all the requisite Formalities;

22. The present proceeding is disposed of accordingly.

Member (Judicial)
National Company Law Tribunal
Guwahati Bench: Guwahati

Ashish

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